

COMMERCIAL LEASE AGREEMENT

THIS LEASE AGREEMENT (this "Lease") is entered into as of April 1, 2021, by and between **HARTFORD COMMERCIAL REAL ESTATE TRUST**, a Connecticut real estate investment trust ("Landlord"), and **SKYLINE STORES**, a Delaware corporation ("Tenant").

RECITALS

A. Landlord owns the shopping center known as Riverdale Shopping Center located in Hartford, Connecticut, containing approximately 185,000 square feet of retail space.

B. Tenant operates retail outlet stores throughout the United States and desires to lease space for such purpose.

C. Landlord desires to lease to Tenant approximately 21,000 square feet within the Shopping Center.

NOW, THEREFORE, in consideration of the mutual covenants herein, the parties agree:

ARTICLE 1 - BASIC LEASE INFORMATION

1.1 Basic Terms

- **Landlord:** Hartford Commercial Real Estate Trust
- **Tenant:** Skyline Stores
- **Premises:** 21,000 square feet (Store ID: S003)
- **Address:** 12 River Road, Hartford, CT 06106
- **Shopping Center:** Riverdale Shopping Center
- **Commencement Date:** April 22, 2021
- **Expiration Date:** April 21, 2026
- **Base Rent:** See Section 3.1
- **Tenant's Share:** 11.35% ($21,000 \div 185,000$)
- **Permitted Use:** Outlet retail store
- **Guarantor:** Skyline Stores Holdings, Inc.

ARTICLE 2 - PREMISES AND TERM

2.1 Demise of Premises

Landlord leases to Tenant the Premises shown on **Exhibit A**, together with rights to Common Areas and subject to all easements, restrictions, and matters of record.

2.2 Term

The initial term is **FIVE (5) YEARS** commencing April 22, 2021.

2.3 Renewal Options

Tenant has two (2) options to extend for five (5) years each at 95% of fair market rent, with 6 months' prior written notice required.

2.4 Condition of Premises

Premises delivered "as-is" with Landlord's Work per **Exhibit B** completed:

- New roof membrane with 10-year warranty
- HVAC units servicing the Premises (5 units, 80 tons total)
- Updated electrical service (800 amp)
- Code-compliant restrooms
- Repaved parking areas

ARTICLE 3 - RENT

3.1 Base Rent Schedule

Lease Year	Annual Rent	Monthly Rent	PSF/Year
Year 1	\$420,000	\$35,000	\$20.00
Year 2	\$430,500	\$35,875	\$20.50
Year 3	\$441,000	\$36,750	\$21.00
Year 4	\$451,500	\$37,625	\$21.50
Year 5	\$462,000	\$38,500	\$22.00

3.2 Additional Rent Components

Tenant pays its Proportionate Share of:

- **CAM Charges:** Currently \$4.25 PSF (includes snow removal, landscaping, parking lot maintenance, security)
- **Real Estate Taxes:** Currently \$3.85 PSF
- **Insurance:** Currently \$0.45 PSF
- **Management Fee:** 3% of gross receipts
- **Marketing Fund:** \$0.25 PSF

3.3 Expense Caps

- CAM increases capped at 5% annually
- Controllable expenses capped at 4% annually
- No cap on taxes, insurance, utilities, or snow removal

3.4 Payment Terms

- Due: 1st of each month
- Late fee: 5% after 5-day grace period
- Default interest: Prime + 4%
- ACH payment required

ARTICLE 4 - USE AND OPERATION

4.1 Permitted Use

Premises shall be used exclusively as a Skyline Stores outlet location selling:

- Overstock and clearance merchandise
- Previous season goods
- Special purchase merchandise
- Customer returns (refurbished)

4.2 Prohibited Uses

- No "dollar store" format
- No used/consignment goods
- No auctions or temporary sales
- No warehouse/distribution use

4.3 Operating Covenant

Tenant must operate minimum 5 days/week, 8 hours/day. "Going dark" prohibited except for remodeling (max 60 days) or casualty.

4.4 Co-Tenancy Requirements

If Combined Occupancy falls below 70% for 6 consecutive months, Tenant may:

- Pay 75% of Base Rent until cured

- Terminate after 12 months with 90 days' notice

ARTICLE 5 - MAINTENANCE AND REPAIRS

5.1 Tenant's Responsibilities

- Interior maintenance and repairs
- Storefront doors and glass
- Interior HVAC components
- All trade fixtures and equipment
- Pest control inside Premises
- Grease trap maintenance (if applicable)

5.2 Landlord's Responsibilities

- Structural elements (roof, foundation, walls)
- Parking lots and Common Areas
- **All HVAC equipment replacement and major repairs**
- Exterior lighting and signage
- Fire protection systems

5.3 HVAC Maintenance Protocol

LANDLORD maintains and replaces all HVAC units serving the Premises:

- Quarterly preventive maintenance
- 24-hour emergency repair response
- Replacement when units reach 75% of useful life
- Energy efficiency upgrades at Landlord's discretion
- Tenant pays proportionate share through CAM

5.4 Roof Warranty

Landlord maintains transferable 10-year roof warranty. Tenant must not penetrate roof without consent.

ARTICLE 6 - ALTERATIONS AND IMPROVEMENTS

6.1 Initial Improvements

Tenant's initial build-out per approved plans. Landlord provides \$315,000 TI allowance (\$15 PSF) disbursed upon completion.

6.2 Subsequent Alterations

- Non-structural under \$25,000: No consent required
- All others: Landlord approval required
- Must use Landlord's approved contractors for structural/MEP work
- Compliance with all codes and ADA required

6.3 Fixture Removal

Upon termination, remove all trade fixtures and repair damage. Improvements paid by TI allowance remain.

ARTICLE 7 - UTILITIES AND SERVICES

7.1 Tenant's Direct Services

- Electricity (separately metered)
- Gas (separately metered)
- Telephone/data/cable
- Interior janitorial
- Refuse removal (exclusive of compactor)

7.2 Landlord Provided Services

- Water/sewer (charged pro rata)
- Common Area lighting and maintenance
- Shared compactor service
- Security patrols (8 PM - 6 AM)
- Snow removal from parking/drives

7.3 Utility Interruption

No liability for interruptions beyond Landlord's reasonable control. Landlord must use diligent efforts to restore.

ARTICLE 8 - INSURANCE

8.1 Tenant's Coverage

- General Liability: \$2M/\$4M with Landlord as additional insured

- Property: Replacement cost on improvements/contents
- Business Interruption: 12 months
- Auto Liability: \$1M
- Umbrella: \$5M
- Workers Comp: Statutory

8.2 Landlord's Coverage

- All-risk property on buildings
- General liability for Common Areas
- Rent loss insurance

8.3 Mutual Waiver

Mutual waiver of subrogation on all property claims to extent covered by insurance.

8.4 Certificates

Annual certificates required showing compliance. 30-day cancellation notice to Landlord.

ARTICLE 9 - DAMAGE AND CONDEMNATION

9.1 Casualty Damage

- **Partial damage (<50%):** Landlord restores within 180 days, rent abates proportionately
- **Major damage (>50%):** Either party may terminate within 30 days
- **Last 18 months:** Tenant may terminate regardless of damage extent

9.2 Condemnation

- **Total taking:** Lease terminates
- **Partial taking >25%:** Tenant may terminate
- **Partial taking <25%:** Lease continues with rent reduction

9.3 Insurance Proceeds

Landlord restores base building only. Tenant restores its improvements beyond original TI work.

ARTICLE 10 - ASSIGNMENT AND SUBLETTING

10.1 Consent Requirements

No transfer without Landlord's prior written consent (not unreasonably withheld). Landlord may recapture for assignments of entire Premises.

10.2 Permitted Transfers

No consent needed for:

- Affiliates with equal net worth
- Stock transfers not changing control
- Franchisees operating as Skyline Stores

10.3 Transfer Terms

- Assignee assumes all obligations
- Original Tenant remains liable
- 50/50 split of excess rent after Tenant's costs
- \$2,500 review fee

ARTICLE 11 - ENVIRONMENTAL

11.1 Tenant Covenants

- No Hazardous Materials except consumer products
- Comply with all Environmental Laws
- Immediate notice of releases
- Indemnify for Tenant-caused contamination

11.2 Landlord Representations

Landlord represents no known environmental conditions as of Commencement Date based on Phase I ESA dated 2/15/2021.

11.3 Remediation

- Tenant: Responsible for conditions it causes
- Landlord: Pre-existing conditions and Common Areas
- Right to terminate if remediation exceeds 120 days

ARTICLE 12 - DEFAULT AND REMEDIES

12.1 Tenant Defaults

- Monetary: Failure to pay within 10 days of notice
- Non-monetary: Failure to cure within 30 days (or commence cure if more time reasonably needed)
- Chronic: 3 monetary defaults in 12 months
- Bankruptcy/insolvency proceedings

12.2 Landlord's Remedies

- Terminate and recover possession
- Terminate Tenant's right only and relet
- Accelerate rent (limited to 6 months)
- Specific performance
- Recover attorneys' fees

12.3 Tenant's Remedies

After notice and opportunity to cure:

- Offset for Landlord's failure to maintain
- Specific performance
- Actual damages (no consequential)
- Attorneys' fees if Tenant prevails

12.4 Mitigation

Landlord must use reasonable efforts to mitigate damages through reletting.

ARTICLE 13 - MISCELLANEOUS

13.1 Holding Over

Month-to-month at 150% of last month's rent plus all damages.

13.2 Estoppel Certificates

Delivered within 10 business days. Failure to respond deemed acceptance of Landlord's statement.

13.3 Subordination

Automatic to present and future mortgages with commercially reasonable SNDA provided.

13.4 Financial Information

Annual statements and quarterly sales reports. Confidential treatment required.

13.5 Force Majeure

Excludes payment obligations. Must notify other party within 5 days of event.

13.6 Parking

- Customer: 105 spaces (5 per 1,000 SF) non-exclusive
- Employee: 10 designated spaces in rear

13.7 Signage

- Façade: One sign up to 250 SF per Exhibit C criteria
- Monument: Proportionate space on center pylon
- Directional: As reasonably needed

13.8 REIT Protection

Tenant acknowledges Landlord's REIT status and agrees to provisions in **Exhibit D**.

13.9 Sustainability

Participate in Landlord's recycling and energy conservation programs. LED lighting required for any lighting replacements.

13.10 Notices

Landlord:

Hartford Commercial Real Estate Trust
One Constitution Plaza, 15th Floor
Hartford, CT 06103
Attn: General Counsel

Tenant:

Skyline Stores
500 Commerce Drive
Dallas, TX 75201
Attn: Real Estate Legal

13.11 Entire Agreement

This Lease and exhibits constitute entire agreement. Amendments must be written and signed by both parties.

13.12 Governing Law

Connecticut law governs. Exclusive jurisdiction in Hartford Superior Court.

SIGNATURES

LANDLORD:

HARTFORD COMMERCIAL REAL ESTATE TRUST

By: _____

Name: James Mitchell

Title: Chief Investment Officer

Date: April 1, 2021

TENANT:

SKYLINE STORES

By: _____

Name: Sarah Johnson

Title: Senior Vice President - Real Estate

Date: April 1, 2021

EXHIBITS

Exhibit A - Premises Floor Plan and Location

Exhibit B - Landlord's Work

Exhibit C - Signage Criteria

Exhibit D - REIT Protective Provisions

Exhibit E - Form of SNDA

Exhibit F - Guaranty of Lease

Exhibit G - Rules and Regulations

Exhibit H - Exclusive Use Provisions

Exhibit I - Environmental Disclosure